Practice workbook · Bank terms and ways of paying

Meaning of standing orders, direct debits, credit transfers, dishonoured cheques, unpresented cheques and outstanding lodgements, and reading a balance from the bank's side.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-CTL-11

1. Question 17 · part c.ii · 2 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part c.ii only.

17 (a) State **one** benefit of preparing a bank reconciliation statement.

(1)

.....

.....

On 31 March 2023 Waan identified that the following transactions had not yet been entered in the cash book.

- Cash banked, $350
- Cheque to restore petty cash, $75
- Bank interest received, $8
- Standing order for rent, $300

(b) (i) Prepare the updated cash book on 31 March 2023 and bring the balance down on 1 April 2023.

(5)

Cash Book – Bank Column

Date 2023	Details	$	Date 2023	Details	$
March 31	Balance b/d	1 100			

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1. Question 17 · part c.ii · 2 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part c.ii only.

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On 31 March 2023 Waan's bank statement showed a credit balance of $528

She identified that the following had not been processed by the bank.

- Unpresented cheques, $215
- Outstanding lodgements, $770

(ii) Prepare a bank reconciliation statement at 31 March 2023.

(5)

Waan
Bank Reconciliation Statement at 31 March 2023

	$
Updated cash book balance	

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(c) State **two** characteristics of **each** method of payment.

(i) Standing order

(2)

1 .....

.....

2 .....

.....

(ii) Direct debit

(2)

1 .....

.....

2 .....

.....

(Total for Question 17 = 15 marks)

1. Question 17 · part c.ii · 2 marks · Working and answer

Working and answer

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2. Question 2 · part whole · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part whole only.

2 Identify the term used to describe an instruction to a bank to make a fixed payment to a supplier on the last day of every month.

- ☒ **A** Cheque
- ☒ **B** Credit transfer
- ☒ **C** Direct debit
- ☒ **D** Standing order

(Total for Question 2 = 1 mark)

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Working and answer

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3. Question 6 · part whole · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part whole only.

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6 Identify which method of payment applies when a business instructs its bank to make a fixed payment of $200 to its energy provider each month.

- ☒ **A** Cheque
- ☒ **B** Credit transfer
- ☒ **C** Direct debit
- ☒ **D** Standing order

(Total for Question 6 = 1 mark)

Working and answer

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4. Question 14 · part c.i · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

14 On 30 April 2019 Sanit received his bank statement, which showed a debit balance of $600. On the same day his cash book showed a credit balance of $1 358.

After checking the cash book against the bank statement, he identified the following errors and omissions.

- Bank charges of $32 had not been entered in the cash book.
- A direct debit for $165 for insurance had not been entered in the cash book.
- A credit transfer for $410 from Kamil had been entered in error on the wrong side of the cash book.
- A cheque paid to a supplier for $315 had not yet been presented for payment.
- Money deposited in the bank, $180, was not on the bank statement.

(a) Prepare an updated cash book at 30 April 2019. Balance the cash book on that date and bring the balance down on 1 May 2019.

(5)

Cash Book (bank column)

Date 2019	Details	$	Date 2019	Details	$

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4. Question 14 · part c.i · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

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(b) Prepare a bank reconciliation statement at 30 April 2019.

(6)

Sanit

Bank reconciliation statement at 30 April 2019

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(c) Define the terms:

(i) standing order

(2)

(ii) direct debit.

(2)

(Total for Question 14 = 15 marks)

4. Question 14 · part c.i · 2 marks · Working and answer

Working and answer

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5. Question 14 · part c.ii · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

14 On 30 April 2019 Sanit received his bank statement, which showed a debit balance of $600. On the same day his cash book showed a credit balance of $1 358.

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- Money deposited in the bank, $180, was not on the bank statement.

(a) Prepare an updated cash book at 30 April 2019. Balance the cash book on that date and bring the balance down on 1 May 2019.

(5)

Cash Book (bank column)

Date 2019	Details	$	Date 2019	Details	$

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5. Question 14 · part c.ii · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

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(b) Prepare a bank reconciliation statement at 30 April 2019.

(6)

Sanit

Bank reconciliation statement at 30 April 2019

OLevels.com SCHOOL

(c) Define the terms:

(i) standing order

(2)

(ii) direct debit.

(2)

(Total for Question 14 = 15 marks)

5. Question 14 · part c.ii · 2 marks · Working and answer

Working and answer

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6. Question 18 · part c · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

18 On 30 September 2022 the bank column of Sam's cash book showed a balance of $2 640 Dr which did not agree with his bank statement balance of $4 079 Cr on the same date.

He discovered the following differences.

- A direct debit, $148, had been entered in the cash book as $184 and bank charges, $182, had not been entered in the cash book.
- A cheque received, $260, and cheques issued totalling $1 845 had been entered in the cash book but had not yet been processed by the bank

(a) Calculate the updated bank balance in Sam's cash book at 30 September 2022.

(3)

.....

.....

.....

.....

(b) Prepare the bank reconciliation statement at 30 September 2022.

(5)

Sam
Bank reconciliation statement at 30 September 2022

	$
Updated bank balance per cash book	

(c) State **two** features of a direct debit.

(2)

1 .....

2 .....

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6. Question 18 · part c · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

Sam currently maintains only a cash book to record his business transactions. He has decided that he should maintain a full set of accounting records in the future.

(d) Evaluate **two** benefits to Sam of maintaining a full set of accounting records.

(5)

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(Total for Question 18 = 15 marks)

6. Question 18 · part c · 2 marks · Working and answer

Working and answer

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7. Question 17 · part c.i · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c.i only.

17 (a) State **one** benefit of preparing a bank reconciliation statement.

(1)

.....

.....

On 31 March 2023 Waan identified that the following transactions had not yet been entered in the cash book.

- Cash banked, $350
- Cheque to restore petty cash, $75
- Bank interest received, $8
- Standing order for rent, $300

(b) (i) Prepare the updated cash book on 31 March 2023 and bring the balance down on 1 April 2023.

(5)

Cash Book – Bank Column

Date 2023	Details	$	Date 2023	Details	$
March 31	Balance b/d	1 100			

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7. Question 17 · part c.i · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c.i only.

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On 31 March 2023 Waan's bank statement showed a credit balance of $528

She identified that the following had not been processed by the bank.

- Unpresented cheques, $215
- Outstanding lodgements, $770

(ii) Prepare a bank reconciliation statement at 31 March 2023.

(5)

Waan
Bank Reconciliation Statement at 31 March 2023

	$
Updated cash book balance	

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(c) State **two** characteristics of **each** method of payment.

(i) Standing order

(2)

1 .....

.....

2 .....

.....

(ii) Direct debit

(2)

1 .....

.....

2 .....

.....

(Total for Question 17 = 15 marks)

7. Question 17 · part c.i · 2 marks · Working and answer

Working and answer

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8. Question 16 · part c · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part c only.

16 Abdus, a sole trader, maintains a full set of accounting records.

On 31 January 2025, Abdus received his bank statement, which showed a debit balance of $760. On the same day, his cash book showed a debit balance of $512

After checking the cash book against the bank statement, Abdus identified the following errors and omissions.

- A direct debit, $1 200, for rent had not been entered in the cash book.
- Bank interest received, $72, had not been entered in the cash book.
- A credit transfer, $118, from Rachel had been entered on the wrong side of the cash book.
- The total credit entries in the cash book had been undercast by $100
- A cheque received from Samuel, a credit customer, $185, had been dishonoured.
- Cash sales deposited in the bank, $235, did not appear on the bank statement.
- Cheque number 483480 payable to Pandur, $140, did not appear on the bank statement.

(a) Prepare an updated cash book at 31 January 2025. Balance the account at this date and bring the balance down on 1 February 2025.

(6)

Cash Book – Bank Column

Date 2025	Details	$	Date 2025	Details	$
January 31	Balance b/d	512	January 31		

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8. Question 16 · part c · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part c only.

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(b) Prepare a bank reconciliation statement at 31 January 2025.

(4)

Bank Reconciliation Statement at 31 January 2025

Balance as per cash book	

(c) Define the term **'direct debit'**.

(1)

Abdus also maintains a petty cash book with an imprest of $200.

At 31 January 2025, the subtotals of receipts and payments for the month of January 2025 had been entered in the petty cash book.

(d) Balance the petty cash book on 31 January 2025. Bring down the balance on 1 February 2025 and restore the imprest amount from the bank on that date.

(4)

Petty Cash Book

Total receipts	Date 2025	Details	Total payments
200.00	January 31	Subtotals	136.80

(Total for Question 16 = 15 marks)

8. Question 16 · part c · 1 mark · Working and answer

Working and answer

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9. Question 13 · part b · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

13 (a) State **two** benefits of preparing a bank reconciliation statement.

(2)

1 .....

2 .....

(b) Define the following terms.

(3)

Term	Definition
Unpresented cheques	
Outstanding lodgements	
Dishonoured cheque	

(Total for Question 13 = 5 marks)

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Working and answer

10. Question 18 · part b · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part b only.

18 Lucas provided the following information for the month ended 31 March 2022.

	$
Trade receivables ledger balances at 1 March 2022	48 220
Trade receivables ledger balances at 31 March 2022	47 830
Cash sales	8 300
Contra/set off to trade payables ledger	270
Credit customer's cheque dishonoured	360
Credit sales	41 480
Discount allowed	410
Discount received	120
Irrecoverable debts	1 930
Receipts from credit customers	38 590
Returns inwards	1 030
Returns outwards	1 950

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18

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10. Question 18 · part b · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part b only.

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(a) Prepare the trade receivables ledger control account for the month ended 31 March 2022. Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Trade Receivables Ledger Control Account

Date 2022	Details	$	Date 2022	Details	$

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(b) State **two** reasons why a customer's cheque may be dishonoured by the bank.

(2)

1 .....

2 .....

10. Question 18 · part b · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part b only.

Lucas is proposing to change from a manual system to a computerised system of bookkeeping.

(c) Evaluate whether Lucas should proceed with this proposal.

(5)

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(Total for Question 18 = 15 marks)

10. Question 18 · part b · 2 marks · Working and answer

Working and answer

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11. Question 16 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

16 (a) Identify, indicating with a tick (✓), whether **each** item would be entered on the debit side or the credit side of a cash book.

(8)

	Debit side	Credit side
Bank charges		
Cash drawings by owner		
Customer cheque dishonoured		
Electricity paid by direct debit		
Electronic receipt from a credit customer		
Interest charged on overdraft		
Interest received		
Refund from a supplier by cheque		

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11. Question 16 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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On 28 February 2025, Malla's cash book showed a balance of $3 200 (Dr).

On the same date, he downloaded a copy of his bank statement which showed a balance of $2 215 (Cr).

The bank advised him that a cheque received from FG Holdings, $340, had been returned by the bank unpaid.

He identified the following transactions that had not yet been processed by the bank:

- the takings from the last day of the month, $1 750
- two cheques issued during the month had not yet been presented to the bank for payment:
  - AB Supplies $430
  - TW Engineers $675

(b) Prepare a bank reconciliation statement at 28 February 2025. (5)

Malla

Bank Reconciliation Statement at 28 February 2025

	$
Balance as per cash book	

(c) State **two** reasons why a bank may refuse to pay a cheque received. (2)

1 .....

.....

2 .....

.....

(Total for Question 16 = 15 marks)

11. Question 16 · part c · 2 marks · Working and answer

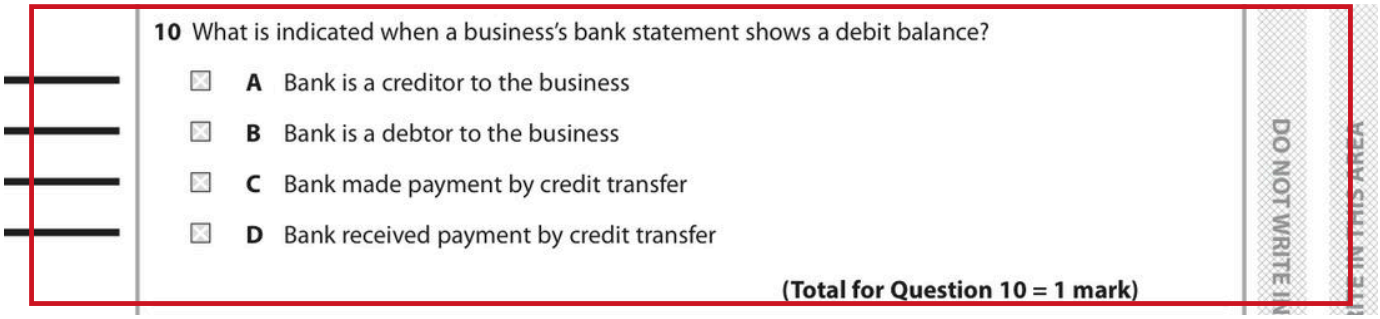
Working and answer

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12. Question 10 · part whole · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part whole only.



10 What is indicated when a business's bank statement shows a debit balance?

- ☒ **A** Bank is a creditor to the business
- ☒ **B** Bank is a debtor to the business
- ☒ **C** Bank made payment by credit transfer
- ☒ **D** Bank received payment by credit transfer

(Total for Question 10 = 1 mark)

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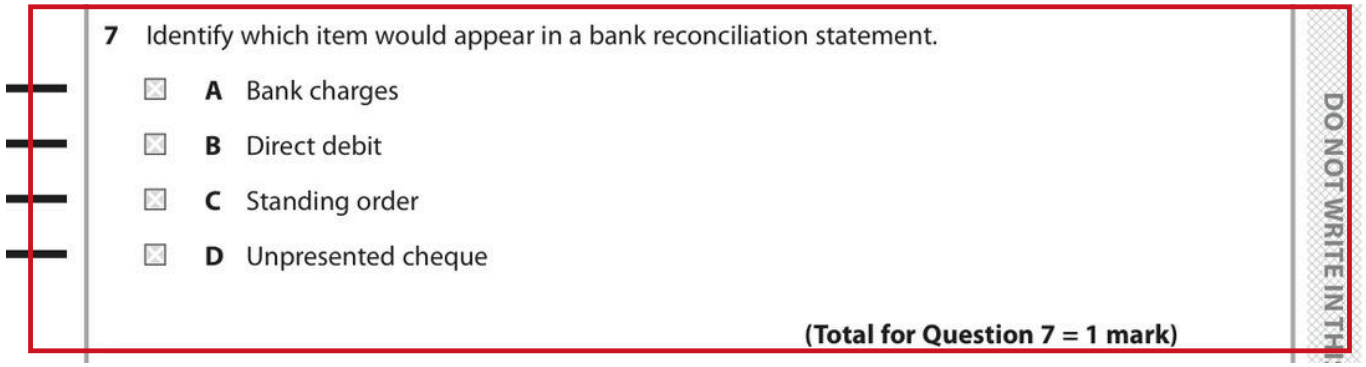
Working and answer

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13. Question 7 · part whole · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part whole only.



7 Identify which item would appear in a bank reconciliation statement.

- ☒ **A** Bank charges
- ☒ **B** Direct debit
- ☒ **C** Standing order
- ☒ **D** Unpresented cheque

(Total for Question 7 = 1 mark)

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Working and answer

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